

# UCTT pitch deck

## PITCH — UCTT — VERDICT

**PROPOSED — PENDING ADJUDICATION** — minimum starter, 0.25% of book, laddered *below* the current price, and not to be entered until a share-count check shows the company has not actually sold stock under its new \$400M program. Red bench voted reject; blue bench overturned red's single strongest argument on an arithmetic error. Neither bench produced a finding that justifies staying flat outright, and neither produced one that justifies a real position.

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### What we believe

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Ultra Clean Holdings makes the subsystems — gas delivery, fluid delivery, frames, cleaning services — that go inside semiconductor manufacturing equipment. It is a supplier to a supplier. Two customers, Lam Research and Applied Materials, are 61.3% of its revenue.

Three things we think are true:

- 1. The demand is real and it is accelerating.** Q2 revenue was \$644.9M. The company guided Q3 to \$700–750M, roughly +12% sequentially, with non-GAAP earnings of \$0.83–1.03 against a Street expectation of \$0.67. The incremental revenue came overwhelmingly from Lam, whose share of UCTT went from 36.7% to 39.5% *while UCTT's total revenue grew 20.8% quarter over quarter* — meaning Lam-specific volume grew roughly 30% in a quarter. That is a demand signal, not a risk signal, even though it is also a concentration risk.
- 2. The stock is priced for margins the company is currently earning, not the margins the cycle historically produces.** At ~\$71–74 the enterprise value is roughly \$3.58–3.68B. Against the company's own \$4.0B revenue roadmap, today's price is what you'd pay if operating margin never exceeds about 7%. At 9% the fair value is ~\$95/share; at 11%, ~\$119. UCTT ran 8–9% operating margins in the 2021–22 upcycle at *lower* revenue. The gap between “what the tape pays for” and “what this business has actually printed before” is the entire thesis.
- 3. The August 14 selloff was probably an overreaction to an authorization, not an issuance.** The company registered a \$400M at-the-market stock-selling program — 12.4% of its market cap. The stock fell 8.59% that day, roughly 69% pass-through, as if the company were going to sell all \$400M immediately at the worst possible price. It has no reason to. It holds \$255.9M in cash plus \$241.8M of undrawn committed credit lines, its only real debt is \$600M of 0%-coupon convertible notes that don't mature until 2031, and its share count is still ~45.1M — essentially unchanged.

Primary source for the ATM program: [8-K filed 2026-08-14](#) and the accompanying [424B5 prospectus supplement](#).

## What the market believes

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The market believes two contradictory things at once, and that is the interesting part.

**The sell-side is euphoric.** Five analysts cover it, the consensus rating is Strong Buy, and the average price target is \$137 — 87% above today. Back out the forward P/E of 14.29 and the Street is implicitly modeling FY27 earnings of about \$5.13/share. But the company's own Q3 guidance, annualized, is \$3.72. That is a 38% gap between what the Street's multiple implies and what management just told everyone, and nobody has published the bridge.

**The tape is not.** The stock is down 49% from its 52-week high of \$144.22. Short interest is 7.52% of the float. The August 14 dilution reaction was severe. And the stock is simultaneously up 242% from its 52-week low of \$21.49 — so the tape has already made one enormous round trip in this name and is not treating it as an undiscovered story.

The plain-English version: **the market believes this is a good business in a good cycle that just did something shareholder-unfriendly with its stock.**

## Why we might have edge

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Four specific places where we know something the published research does not appear to:

**The bear case's headline number is wrong, and it is wrong in a way that's easy to inherit.**

The commonly cited debt figure of \$775.9M includes operating and finance leases. Funded debt is \$600.0M of converts plus ~\$15.0M other = \$615.0M. Against \$255.9M cash, net debt is **\$359.1M, not \$520M**. Anyone who ran a “can they fund themselves?” test on the higher number got a distress answer to a question that isn't distressed.

**The 38% Street gap is a real, gradeable disagreement.** A price target with no earnings bridge behind it is not consensus — it's an unexamined number. Either the Street knows something about FY27 margins that management didn't guide, or the target is stale. That gap is scoreable on 11/03 and again in early 2027.

**The dilution reaction confuses “authorized” with “sold.”** A shelf program is capacity, not supply. The share count proves nothing has been sold yet. The market priced immediate full drawdown at the low, which is the one thing an issuer with \$498M of liquidity would never do.

**The receivables improvement is genuine.** Days-sales-outstanding went from 39.7 to 29.4. We checked whether that was fake — i.e., whether they were just selling receivables to banks. They sold \$49.0M in the first half and had \$26.3M off balance sheet at quarter end. Add it all back and DSO is 33.1 days. Still a real improvement, just smaller than the headline.

## Why it might be priced in

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We should be honest that the case for “no edge here” is strong, and one of our two benches voted for it.

- **Everyone already likes it.** Strong Buy, \$137 target, five analysts. We are not contrarian. Our positive view is the same as the Street's positive view, we just have a different reason.
- **The dilution complaint is in the tape.** The 8.59% drop *is* the market pricing the dilution read. Arguing that the market overreacted is not proprietary information; it is a difference of opinion about magnitude.
- **The demand story is the entire WFE cycle.** Lam and Applied both report publicly. There is nothing about UCTT's demand that isn't inferable from its customers' own guidance, which is followed by a thousand people.
- **The +242% off the low says this has been discovered.** Whatever gap existed a year ago has been traded.
- **Our margin case requires margins nobody has printed.** The prize only clears +50% at roughly a 10.3% operating margin. The company's best historical cycle margins were 8–9%. We are asking for better-than-best-ever, and that assumption is doing all the work.

## What could go wrong

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### **Failure narrative 1 — The margin never comes, and the whole thesis was one assumption.**

Gross margin improved only 27 basis points last quarter, from 15.81% to 16.08%. All of the apparent “operating leverage” was overhead not growing, not the product getting more profitable. Incremental gross margin on the +\$111.2M of new revenue was 17.4%. At a 16% gross margin with 61.3% of revenue in two customers, a 10% revenue decline wipes out operating income entirely. If the ramp is real revenue at thin margins — which is exactly what a contract manufacturer's ramp looks like — then the \$4.0B roadmap arrives at 6–7% operating margins and fair value is \$59–71. That is *below today's price*.

**Tripwire: Q3 gross margin below 18% on the \$700–750M guide.** Monitorable on 11/03.

### **Failure narrative 2 — The working capital hole is deeper than anyone modeled.**

Inventory is \$238.9M, essentially 0.98x quarterly revenue. First-half operating cash flow was **negative \$74.4M**. First-half GAAP results were a **net loss of \$9.2M** despite \$40.8M of operating income — meaning something below the operating line ate 70% of profit even with a 0%-coupon debt structure, and neither bench decomposed what. If that build is speculative rather than backed by non-cancellable customer orders, and the cash burn continues, the \$400M stock-selling program stops being optional and becomes the funding source. **Tripwire: Q3 operating cash flow still negative with inventory above 0.90x revenue.** This is the named kill for the position. Monitorable on 11/03.

### **Failure narrative 3 — the one with no tripwire.**

*A customer decision made inside Lam or Applied that neither company will ever announce.* Insourcing a subsystem, dual-sourcing to a competitor, or resetting price on renewal. UCTT does not disclose its contract terms, its customers do not disclose their supplier decisions, and the effect would not appear in any public document until it showed up as a revenue miss two to three quarters after the decision was made. There is no filing to watch, no permit, no export-control notice, no anchor customer disclosure. **Unknown-unknown class: counterparty-internal / private-contract-terms.** This is the structural blind spot of every single-tier supplier thesis, and it is the reason concentration is a sizing constraint rather than something to argue away. We cannot arm a sensor for it. We can only be small.

## The reflexive and structural leg.

- *Our own size is not the risk.* At 0.25% of book in a \$3.2B market cap with normal institutional liquidity, our order is immaterial to price. We are a pure price-taker here. Nothing about our participation moves the tape or invites adverse selection.
- *But we would be bidding into a seller we can name.* The company has authorized itself to sell up to \$400M of stock at its own discretion, and a rational issuer sells into strength. That means our upside is capped by a supply source that activates precisely when we're right. Our internal rule against placing resting bids ahead of flow we ourselves predict binds here — it is why the ladder sits *below* the current price rather than at it, and why “the market overreacted to the ATM” does not license us to bid the stock up.
- *Doctrine interactions, stated plainly.* Our rule that a clean court with no named kill defaults to a minimum starter is what produced this recommendation — not enthusiasm. Our rule that “crowded” is a sizing and timing instrument rather than a rejection is what overturned red's strongest vote. Both of those rules are doing real work here, and if either is wrong as a general matter, this position is a false positive generated by process rather than by evidence. That is worth saying out loud.
- *A resting good-till-canceled bid ~49 sessions ahead of an earnings print is an accidental bet against volatility.* If we ladder and forget, we will be filled on exactly the bad news we said we'd wait for. The ladder must be cancel-by-dated ahead of 11/03.

**If this position loses money, the most likely reason will be that we paid for operating margin the company has never earned, in a business whose gross margin improved 27 basis points last quarter, and the revenue ramp arrived exactly as guided while the profits did not.**

## What we checked ourselves

| Claim                                                                                     | How checked                                                | Found                                                                                                                                                                                                        | Confirmed?                                                                                         |
|-------------------------------------------------------------------------------------------|------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|
| “Net debt is \$520M”                                                                      | Pulled the Q2 10-Q directly instead of the data aggregator | Funded debt is \$615.0M, not \$775.9M — the extra \$160.8M was leases. Net debt \$359.1M                                                                                                                     | <b>No — refuted. Original brief inherited an aggregator artifact</b>                               |
| “The \$400M stock program might be a distress raise”                                      | 10-Q liquidity note                                        | \$255.9M cash + \$241.8M undrawn committed credit ≈ \$498M available; converts are 0% coupon due 2031; secured debt ~zero against a 3.25x covenant. No funding need                                          | <b>No — refuted. Our own red bench killed its own argument here and reported it against itself</b> |
| “Management sold stock <i>below</i> its own convertible strike price — a self-indictment” | Compared \$92 signing price to \$84.75 conversion price    | <b>Our red bench got the direction backwards.</b> \$92 is <i>above</i> \$84.75. Issuing above your own conversion price is ordinary behavior. This was red's designated strongest kill and it does not stand | <b>No — bench error. Blue caught it</b>                                                            |
| “Margins are inflecting”                                                                  | Decomposed the 10-Q                                        | Gross margin 15.81%→16.08% (+27bp); incremental gross margin 17.4%. The                                                                                                                                      | <b>Partly. Real but shallow. Red framed</b>                                                        |

| Claim                                            | How checked                      | Found                                                                                                                                                                                                                                                                                  | Confirmed?                                                                                                                                                                          |
|--------------------------------------------------|----------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                  |                                  | improvement is overhead discipline, not product economics                                                                                                                                                                                                                              | <b>it too harshly; blue's correction — “operating leverage is real but thin” — is the accurate version</b>                                                                          |
| “AMAT's beat is our demand anchor”               | 10-Q customer concentration note | Wrong customer. Lam went 36.7%→39.5%; AMAT flat at 21.8%. Every incremental dollar came from Lam                                                                                                                                                                                       | <b>Fact confirmed, conclusion reversed. Red presented this as a kill; it is actually a <i>stronger</i> demand anchor. Second bench error, opposite direction from the first</b>     |
| “Return to profitability”                        | 10-Q                             | 1H26 was a GAAP net <b>loss</b> of \$9.2M on \$40.8M operating income. Q2 net income \$8.7M = 1.3% net margin                                                                                                                                                                          | <b>Omission confirmed. But neither bench could decompose the below-the-line drag — a tax valuation allowance and a structural interest burden imply opposite things. Unresolved</b> |
| “DSO improvement is faked with receivable sales” | 10-Q factoring note              | \$49.0M 1H proceeds (the brief said \$19.0M — also wrong), \$26.3M off balance sheet. Adding back: 29.4 → 33.1 days                                                                                                                                                                    | <b>Improvement survives. Smaller than headline</b>                                                                                                                                  |
| “We agree with the Street, so there's no trade”  | Read red's own numbers back      | Red counted five analysts and a Strong Buy and called that agreement. But red's <i>own</i> figures show the Street's multiple implies \$5.13 FY27 EPS against a \$3.72 guide-annualized — a 38% gap with no published mechanism. Red converted a divergence into evidence of consensus | <b>No — bench error. This was red's designated fatal finding and it does not survive. Coverage means the name is <i>measured</i>, not measured correctly</b>                        |
| “Enter when we see whether they've sold stock”   | Filing mechanics                 | Red correctly showed this gate can't resolve before the 11/03 print — making the trade unexecutable for ~49 sessions. Blue then found the fix both benches had missed: the exchange's monthly shares-outstanding feed and any prospectus supplement show issuance well before the 10-Q | <b>Gate was broken; now fixed. Credit to red for finding it, blue for repairing it</b>                                                                                              |
| Which price are we even using?                   | Compared all three sources       | Evidence pack says \$73.56, red used \$73.25 (an intraday tick), blue used \$71.33 (the 8/24 close). <b>Three different prices, never reconciled.</b> Live-quote permissions were denied to both benches                                                                               | <b>No. Every multiple in this deck carries a ~3% price uncertainty. Flagged, not resolved</b>                                                                                       |

| Claim                                              | How checked                  | Found                                                                                                                                                                                          | Confirmed?                 |
|----------------------------------------------------|------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------|
| Is the +12% sequential guide an easy or hard comp? | Seasonality check            | <b>Neither bench ran it.</b> Both lacked shell access. This is a mandatory check on any acceleration claim and it was skipped                                                                  | <b>No — coverage gap</b>   |
| Is there China / export-control exposure?          | Both benches attempted       | <b>Unresolvable.</b> The 10-Q did not surface named-foreign-customer or geographic revenue detail. Both benches formally disputed the planner's decision to run this name with zero connectors | <b>No — open</b>           |
| Did the market over-attribute the 8/14 drop?       | Blue's argument              | 69% pass-through on a 12.4%-of-cap <i>authorization</i> , with share count unchanged. Plausible, but blue had no order-flow data. This is inference, not measurement                           | <b>No — plausible only</b> |
| Is the “8–9% margins in 2021–22” history real?     | Blue's own prize table input | Blue could not verify it in-session. <b>The single load-bearing input to the upside case is unverified</b>                                                                                     | <b>No</b>                  |

**One structural honesty note about this whole table:** blue could not independently re-fetch the 10-Q. It audited red's arithmetic and inference from red's quoted figures. That means every primary financial number in this deck traces back to **one extraction by one bench that was never independently reproduced**. If that extraction is wrong, everything above is wrong together. Separately, the machine-built evidence pack's financial data block was unusable for this name — its revenue series ends in 2022 and its cash-flow series is annual stubs — so both benches had to work around the infrastructure rather than with it.

## PROPOSED ENTRY BANDS

**Pre-condition, must resolve before any order goes live:** a share-count read showing fewer than 2% new shares versus the 45.1M diluted base. Source: the exchange's monthly shares-outstanding feed, plus any new 424B5 prospectus supplement on EDGAR. If the count shows the company is actively selling, the entire premise (“authorized, not issued”) is dead and this goes back to flat.

**Anchors, taken from the benches' own prize table** at the \$4.0B revenue roadmap:

| Operating margin | Fair value | Vs. current                              |
|------------------|------------|------------------------------------------|
| 6%               | ~\$59      | –17%                                     |
| 7%               | ~\$71      | flat — this is today's price             |
| 9%               | ~\$95      | +33%                                     |
| 11%              | ~\$119     | +67%                                     |
| ~10.3%           | ~\$110     | the level at which the prize clears +50% |

Today's tape pays for 7%. So there is no margin of safety at the current price — you are buying the base case at the base case. Every rung below is buying a discount to it.

**Ladder — total 0.25% of book, split three ways, all limit, all cancel-by 2026-10-30 (do not hold a resting bid into the print):**

- **Tranche 1 — \$68.00** (about 5% below the 7%-margin line). ~0.10% of book.
- **Tranche 2 — \$63.00** (between the 6% and 7% lines). ~0.08% of book.
- **Tranche 3 — \$59.00** (the 6%-margin fair value — below this, the tape is paying for worse-than-trough margins on peak revenue). ~0.07% of book.

**No bid at or above \$71.33.** The company has authorized itself to sell into strength; we do not buy ahead of a seller we can name.

**Adds — only after 11/03, and only if all three clear:** Q3 gross margin  $\geq 18\%$ , positive operating cash flow, inventory below 0.90x revenue. If all three, size may go to 0.50–0.75%. Any one failing, hold at starter.

**Exit / trim:** above \$95 (the 9%-margin fair value), the prize is substantially collected on a margin the company still hasn't printed — trim to starter. **Hard stop on the named kill:** if Q3 operating cash flow is still negative with inventory above 0.90x revenue, exit the whole position regardless of price. That is the position's kill condition, it was named in advance, and it resolves on a known date.

**Catalyst dates: - 2026-11-03 — Q3 earnings.** This is derived from a data vendor, **not confirmed by any company press release.** It resolves the named kill, the gross margin test, the cash flow test, and the ATM drawdown disclosure simultaneously. ~49 trading sessions away. - **Monthly, ongoing — exchange shares-outstanding publication.** The entry gate. Cheaper and earlier than the 10-Q. - **Lam Research's September-quarter report** (date not verified in-session). This is the correct external demand anchor — Lam, not Applied. Red explicitly named it as a mind-changer and neither bench confirmed the date.

## **ARMED SENSORS**

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(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 59.0 (deck-provisional: Ladder tranche 3 — the 6%-margin fair value; below this the tape pays for worse-than-trough margins on)
- filing watch: 424B5 until 2027-02-20 (deck-provisional: New prospectus supplement is the earliest public evidence the \$400M ATM is actually being drawn, which)
- dated pack UCTT|2026-11-03: UCTT: Q3 2026 earnings — resolves the named kill (OCF negative with inventory  $> 0.90x$  revenue), the 18% gross-margin test, and ATM drawdown d
- dated pack UCTT|2026-09-01: UCTT: First monthly exchange shares-outstanding read — the entry gate; requires  $< 2\%$  dilution from the 45.1M diluted base (date confirmed=Fal
- dated pack UCTT|2026-10-22: UCTT: Lam Research September-quarter report — the correct external demand anchor at 39.5% of UCTT revenue; date NOT verified in-session (dat

- dated pack UCTT|2026-10-30: UCTT: Hard cancel-by for all ladder tranches — no resting bid into the earnings print (date confirmed=False)

## What remains unverified

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- **The price itself.** Three sources give \$71.33, \$73.25, and \$73.56. Live-quote access was denied to both benches. Every multiple in this deck carries ~3% uncertainty.
  - **The 10-Q extraction.** One bench pulled the numbers; the other audited the math but could not re-fetch the document. Not independently reproduced.
  - **The 2021–22 margin history (8–9%).** This is the load-bearing input to the entire upside case and neither bench could confirm it.
  - **What ate 70% of operating profit below the line in 1H26.** A tax valuation allowance and a structural financing burden mean opposite things for the thesis. Undecomposed.
  - **Whether the \$238.9M inventory build is customer-funded** or backed by non-cancellable purchase orders. This is the difference between narrative 2 being fatal and being a timing issue.
  - **Seasonality of the Q3 guide.** Mandatory check, skipped by both benches for lack of tooling. +12% sequential against an unknown comp.
  - **Geographic and named-foreign-customer revenue.** Not surfaced in the 10-Q read. Makes the export-control exposure unmeasurable.
  - **Whether the 8/14 drop was genuinely an over-attribution.** No order-flow data was available. Argument only.
  - **The 11/03 earnings date.** Vendor-derived, no company confirmation.
  - **The 38% Street gap.** We know it exists; we do not know whether the Street has a bridge nobody published or whether the target is simply stale. Either answer changes the trade.
  - **Whether the offshore capacity ramp (Malaysia, Singapore, Czechia) is physically underway.** Only the Hayward headquarters is geolocated in our system, and the two geocodes for it disagree by ~4.7km. The \$3.5B/\$4.0B roadmap has no independent physical verification.
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